



CORPORATE STRATEGY

Session 5: Acquisition

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Structure of the sales & marketing team

Sales

- Sales Development Representative
 - Account Executive
 - Account Manager
- Or Sales 360°

Marketing

- Brand & Communication (Social Media Manager, PR, Content Manager, Creative director etc.)
- Demand generation (SEA/SEO manager, CRM Manager, Growth Marketing etc.)
- Product Marketing (Market intelligence etc.)



Impacts

Sales Funnel and Time Cycle
Revenue Growth Revenue
predictability
Cost Of Acquisition

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What are **Mergers & Acquisitions**?



M&A consist in buying companies, either competitors or from other sectors, to enrich your scope of activity

- Mergers
- Absorptions



It is an **alternative to organic growth**, meaning developing a company's activity through its own resources



It is generally leveraged to **gain market share, access resources and/or capabilities** beyond core scope of a company

M&A is not a strategy, it is a tool



An M&A operation itself is just a tool



The same acquisition could be pulled-off to serve several purposes



The same objective could be achieved organically or through acquisition

Example of different recourse to M&A for similar strategies



- Global leader in ski fixations
- Entered the skiing shoes market organically by developing its own product and capabilities

BUT

Engaged in M&A to enter golf equipment market (bought the company Taylor Made)



- Global leader of ski manufacturing
- Entered the skiing shoes market through M&A by acquiring Lange & Trappeur

Developed its own tennis racquet leveraging composite material capabilities to enter tennis market

M&A Drivers

Motives for mergers and acquisitions (M&A)



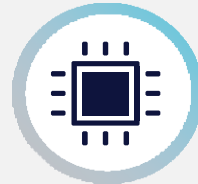
Expand geographic reach



Acquire new customers



Improve customer experience and
offer new services



Access new technologies and IP
(Intellectual property)



Decrease operating costs /
Improve revenue / Synergies

Types of acquisition

Type	Definition	Typical objective
Horizontal acquisition	Acquire a direct competitor in the same value chain stage	Market share, scale, cost synergies
Vertical acquisition	Acquire a supplier or distributor	Secure supply, margin capture, control
Conglomerate acquisition	Acquire an unrelated business	Diversification, risk spreading

Criteria to decide between Organic development and M&A

Objective criteria		Urgency to pull off the strategic move	 <i>First-mover-advantage can justify the acquisition of a capability to avoid long internal development times</i>
		Importance and nature of barriers to entry	 <i>Some regulated or highly technical markets are more easily accessed through M&A (e.g. licenses to operate)</i>
		Maturity of the industry or sector	 <i>In mature markets, it is more difficult to compete from nothing and M&A limits to aggravate over-capacity</i>
		Depth of company resources	 <i>Financial, human & technological resources of a company determine whether it can develop assets internally</i>
Subjective criteria		Perception of an opportunity	 <i>Example: Asset/company perceived as unique and critical to competitive advantage is available on the market</i>
		Company identity/ Management personality	 <i>Some companies are more skewed toward internal R&D and innovation, while others are "M&A engines"</i>

Business Case (1/2)

Classify the deal into **ONE primary category** (even if others exist):

**Meta acquires Instagram
(2012)**

Acquirer activity: Social networks (Facebook)

Target activity: Mobile photo-sharing social app

Instagram is a fast-growing mobile app with strong engagement among young users. Facebook is dominant on desktop but weaker on mobile usage and photo-centric social interactions.

**PSA merges with FCA
(creation of Stellantis)
(2021)**

Acquirer activity: Automotive manufacturing

Target activity: Automotive manufacturing

Both groups face heavy investment needs (electric vehicles, platforms, regulation). Margins are under pressure and scale is critical.

**LVMH acquires Tiffany &
Co. (2020)**

Acquirer activity: Global luxury brands portfolio

Target activity: High-end jewelry, strong US brand

Tiffany has a strong brand in the US but weaker presence in Asia. LVMH has global scale, retail expertise, and strong distribution in Europe and Asia.

**Google acquires DeepMind
(2014)**

Acquirer activity: Internet services, advertising, cloud

Target activity: Artificial intelligence research

DeepMind has limited revenues but world-class AI researchers and proprietary algorithms. Google wants to secure long-term leadership in AI.

**Microsoft acquires LinkedIn
(2016)**

Acquirer activity: Software, cloud, productivity tools

Target activity: Professional social network & data

LinkedIn is profitable but not massive in size. Microsoft wants to enrich its Office ecosystem and leverage professional data across its products.

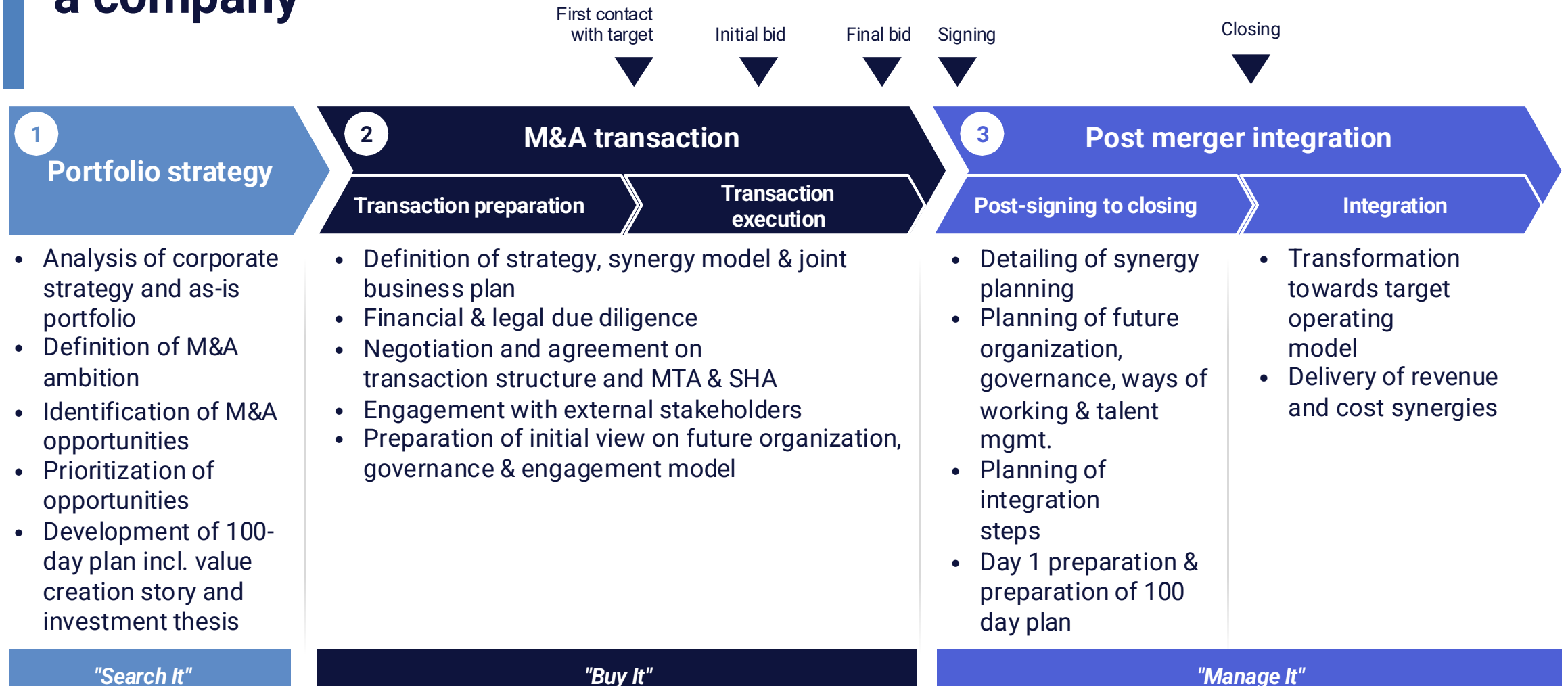
Business Case (2/2)

Deal	Main M&A driver	Explanation
Meta / Instagram (2012)	Acquire new customers	Instagram gave Meta immediate access to a fast-growing, younger, mobile-first user base that Facebook was struggling to attract organically. The key value was user acquisition and engagement , not cost synergies or technology alone.
LVMH / Tiffany & Co. (2020)	Expand geographic reach	Tiffany was very strong in the US but underpenetrated in Asia. LVMH's global retail footprint and brand management capabilities enabled rapid international expansion, especially in China. The acquisition primarily unlocked geographic growth , not operational synergies.
Microsoft / LinkedIn (2016)	Improve customer experience / new services	LinkedIn's professional data enhanced Microsoft's Office, Dynamics, and cloud offerings (e.g., sales tools, recruiting, CRM). The logic was to create new value for existing customers , not to cut costs or enter a new geography.
PSA / FCA → Stellantis (2021)	Decrease operating costs / synergies	Both groups faced massive fixed costs (R&D, platforms, regulation). The merger aimed to generate industrial and purchasing synergies , spread investments over higher volumes, and protect margins in a capital-intensive industry.
Google / DeepMind (2014)	Access new technologies / IP	DeepMind had limited revenues but exceptional AI talent and proprietary research. Google acquired it to secure long-term technological leadership , not for immediate profits or customer acquisition.

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The complete M&A process is far more complex than just buying a company



1. Public takeover and auction processes deviate from described structure 2. Non-disclosure agreement 3. Sale and purchase agreement 4. Transitional Service Agreement
Source: BCG experience

Portfolio Strategy | There are 8 archetypes of M&A deal rationale

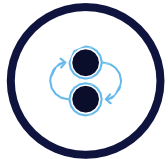
Acquisition intent



Support and grow existing business



Extend business by adding to the portfolio



Change business

Strategic archetype

Value creation objective

- | | | |
|---|---------------------------------|--|
| 1 | Roll-up | Acquire direct competitors to build competitive advantage through scale and scope |
| 2 | Consolidate | Acquire direct competitors in an overcapacity market to consolidate and reduce costs |
| 3 | Leverage operational excellence | Acquire companies in same or close industries to deploy superior operational capabilities |
| 4 | “Feed the machine” | Acquire small, early-stage companies to fill an R&D pipeline into an advantaged distribution network |
| 5 | Accelerate access | Acquire strong companies in same industry to access attractive geos or customer segments where acquirer currently has no position |
| 6 | Enter adjacency | Acquire companies with adjacent products or capabilities to diversify portfolio in related markets |
| 7 | Create new leg | Acquire unrelated companies to diversify into new higher margin or growth industry |
| 8 | Change existing leg | Acquire unrelated companies to migrate portfolio by exiting one market in order to enter one with better growth potential |

Value can be created/
destroyed across all archetypes

What matters is getting strategic fit and execution right

M&A Transaction | To have a complete view of Acquisition economics, synergies need to be assessed exhaustively

A synergy is the incremental value created by combining two firms beyond their standalone performance.

$$\text{Synergy Value} = \text{Combined Value} - (\text{Value A} + \text{Value B})$$

M&A Transaction | To have a complete view of Acquisition economics, synergies need to be assessed exhaustively

Illustration in Telco

Run-rate benefits & savings

Revenue synergies

Revenue synergies, such as cross-selling opportunities or new market entries, boost top-line growth post merger. Key dimensions are:

- Market
- Customer base
- Products & services
- Sales & channel
- Pricing

Savings enablers

Additional integration efforts spread across all dimensions and serve as enablers, incl.:

Cost synergies

The merged entity can realize significant run-rate cost synergies in both OpEx and CapEx dimensions:

- Marketing
- Sales & Distribution
- COGS
- IT
- Network
- G&A
- CapEx

- Procurement
- People

One-time costs

Integration costs

One-time integration costs are necessary to streamline operations, merge systems and unlock and realize potential synergies post merger

These are measure along OpEx and CapEx dimensions:

- Marketing
- Sales & Distribution
- COGS
- IT
- Network
- G&A
- CapEx

M&A Transaction | Risks & Mitigations (1/2)

M&A value creation is **not guaranteed ex ante**. Empirical research consistently shows that a significant share of acquisitions **fail to create shareholder value**, mainly due to underestimated risks rather than flawed strategic intent.

1. Strategic risk

"Are we buying the right asset for the right reason?"

- Weak strategic fit
- Misalignment with long-term corporate strategy
- Acquisition driven by opportunism or fear of competitors

Often irreversible once the deal is closed.

2. Execution / integration risk

"Can the combined organization actually deliver the plan?"

- Delays in integration
- Operational disruption
- Loss of focus on core business

Most frequent source of value leakage.

3. Cultural risk

"Can people work together effectively?"

- Differences in decision-making styles
- Incentive misalignment
- Talent attrition

Particularly critical in knowledge-intensive businesses.

4. Overpayment risk

"Did we pay more than the value we can extract?"

- Aggressive synergy assumptions
- Competitive auction dynamics

Overpayment alone can destroy value even if integration succeeds

5. Regulatory risk

"Will external constraints limit the deal's benefits?"

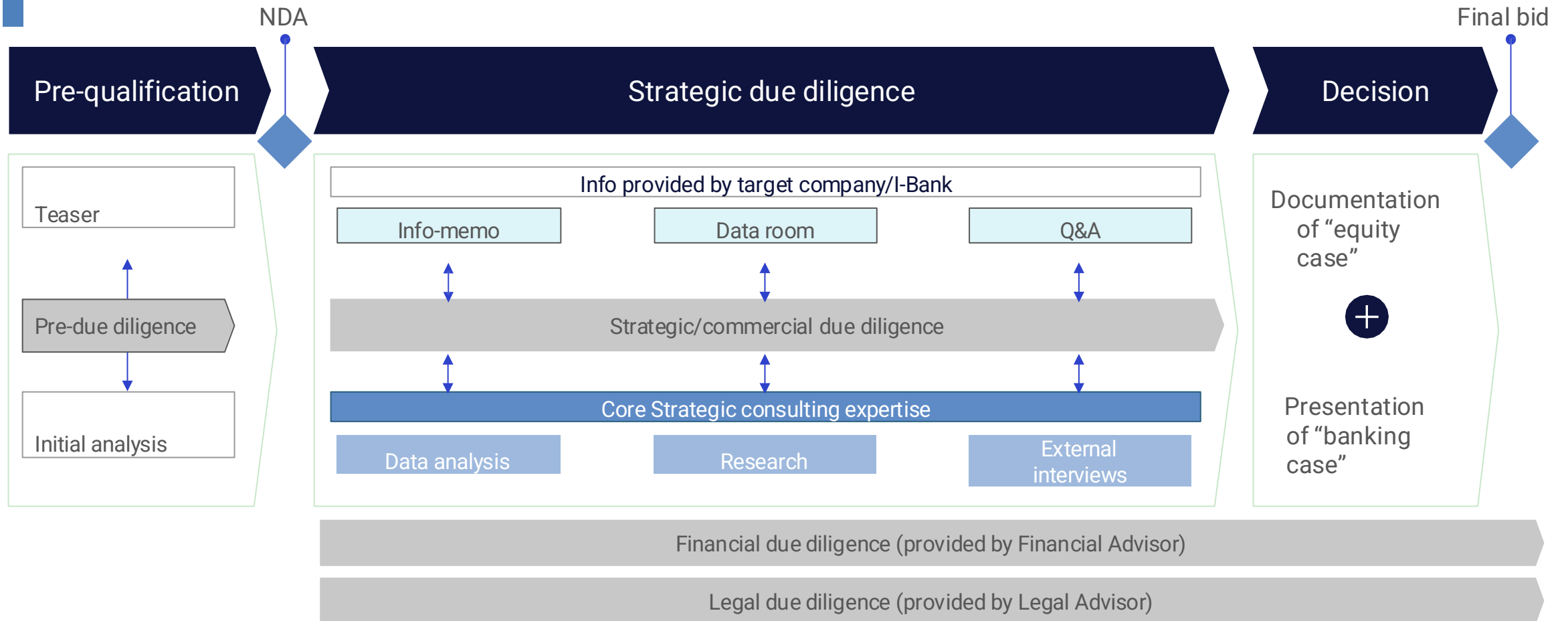
- Antitrust remedies
- Regulatory delays
- Forced divestitures

Especially relevant in concentrated or regulated industries.

M&A Transaction | Risks & Mitigations (2/2)

Deal	Year	Why it was a bad deal (core reason)
 	2018	Massively underestimated legal, regulatory, and reputational risks. Expected industrial and R&D synergies were wiped out by litigation costs, ESG backlash, and overpayment.
DAIMLERCHRYSLER	1998	Severe cultural and execution mismatch. The “merger of equals” failed due to incompatible management styles, governance issues, and lack of operational integration.

M&A Transaction | Overview of a typical strategic due diligence process



M&A Transaction | Due Diligence report is a comprehensive ID card and analysis of a business



Business at-a-glance & track record

- Evaluation of historical and forward-looking financial performance
- Construction of "value stack" via dis-aggregation of business
- Mapping of product use cases and value proposition
- Estimation of unit economics



Market Dynamics

- Evaluation of market size and dynamics by key segment
- Assessment of key growth drivers and overall market outlook
- Assessment of historical market performance and cyclicity
- Evaluation of market risks and new technologies



Customer analysis

- Develop customer segmentation and assess revenue dynamics by segments
- Evaluate key criteria driving customer purchase / switching behavior
- Assess customer perception of target and its key competitors and the relative strength of their value propositions / capabilities



Competitive landscape

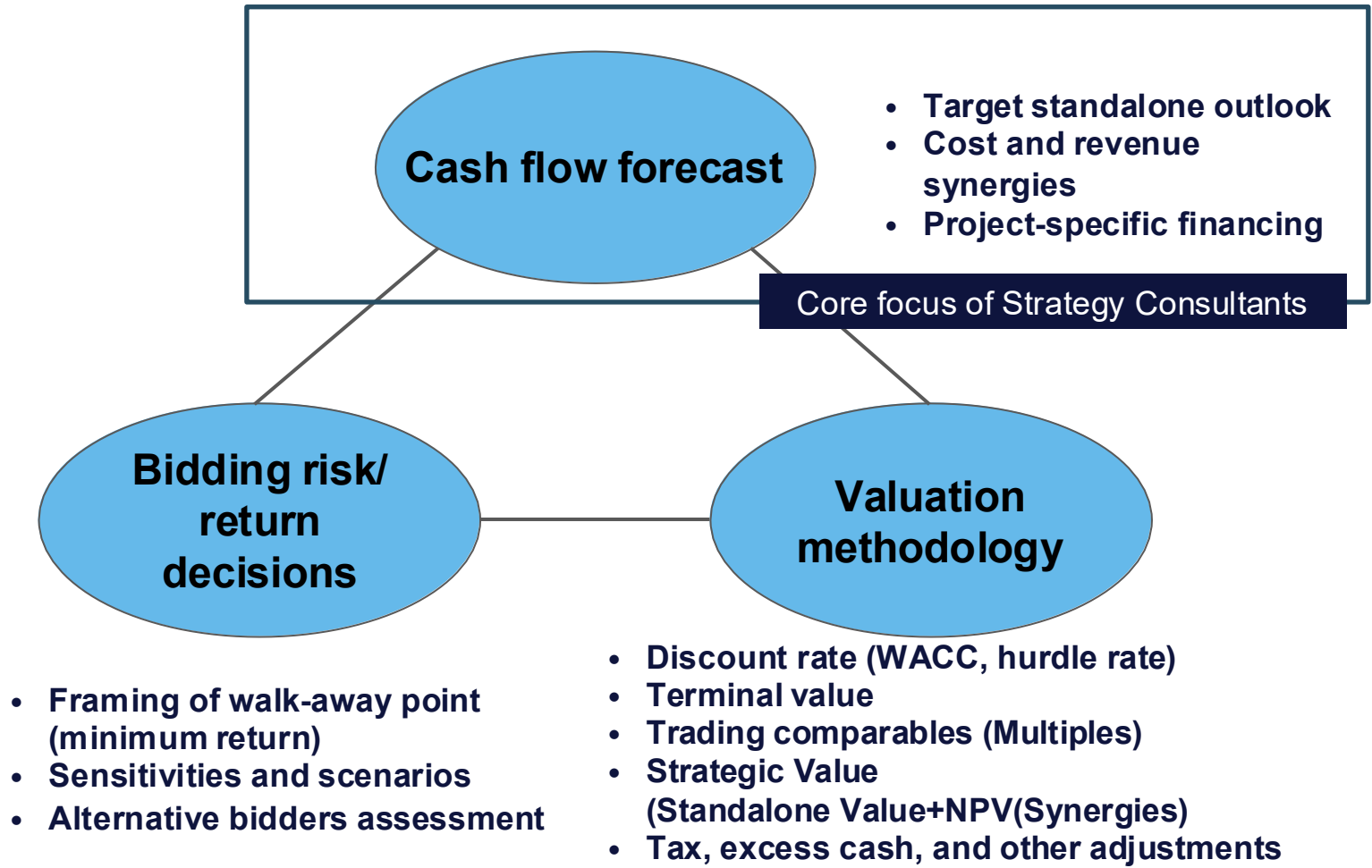
- Evaluation of target competitive positioning relative to competitors
- Comparison of target product offering / capabilities vs. key competitors
- Assessment of key competitive risks faced by target



Routes for growth & BP

- Assessment of feasibility of current management plan and outlook for target
- Identification of additional upside opportunities incremental to management plan; including organic growth, cost opportunities, and potential acquisitions and corresponding synergies
- Identification and evaluation of potential downside risks

M&A Transaction | Valuation requires judgment on three related issues



M&A Transaction | Business Case

Creation of Stellantis (2021)

Context

Merger of PSA and FCA announced in 2019, completed in 2021

Strategic objective:

- Achieve scale in EV investment
- Generate cost synergies
- Improve operating margins

Public synergy target €5 billion annual run-rate cost synergies
(without plant closures)

Combined entity:

- Combined Revenue: €170bn
- Combined EBITDA margin: 12%

Synergy announcement:

- €5bn annual cost synergies (steady-state)
- Integration costs: €4bn (one-time over 2 years)
- Discount rate: 8%

1. What type of acquisition was it ?

2. Annual Impact

If full run-rate synergy = €5bn,
What is the new steady-state EBITDA?

3. Rough Synergy Value

Assume:

- €5bn recurring savings from Year 3 onward
- Ignore terminal growth
- Perpetual value approximation:

$$Value \approx \frac{5bn}{8\%}$$

Is the synergy value significant vs current EBITDA?

4. Integration Discipline

If integration costs are €4bn total:

- Is the deal still value-creating from a synergy perspective?
- What is the key execution risk?